



ORIENT FINANCE PLC

Unaudited Interim Financial Statements
For the Three Months Ended 30 June 2022

ORIENT FINANCE PLC
INCOME STATEMENT

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For the quarter ended 30th June	2022 Rs.	2021 Rs.
Income	809,809,044	638,508,253
Interest income	771,830,314	596,430,306
Interest expenses	(423,144,698)	(266,880,775)
Net interest income	348,685,616	329,549,532
Fee and commission income	17,554,338	21,526,040
Other operating income	20,424,392	20,551,906
Total operating income	386,664,346	371,627,478
Impairment charges for loans and receivables to customers	(15,043,934)	(35,209,888)
Net operating income	371,620,412	336,417,590
Operating expenses		
Personnel expenses	(151,298,332)	(112,602,525)
Depreciation and amortization	(16,409,887)	(13,496,670)
Other operating expenses	(115,942,807)	(133,270,862)
Operating profit/(loss) before Value Added Tax and NBT	87,969,386	77,047,534
Value Added Tax and NBT on financial services	(21,559,905)	(17,168,833)
Profit /(loss) before income tax	66,409,480	59,878,701
Income tax expense	-	-
Profit/(loss) for the period	66,409,480	59,878,701
Other comprehensive income/(expenses)		
Change in fair value of financial assets at fair value through other comprehensive income	(10,840,133)	3,912,408
Total comprehensive income/(expenses) for the period net of tax	55,569,347	63,791,109
Basic earnings per share (Rs.)	0.31	0.28
Diluted earnings per share (Rs.)	0.31	0.28

Figures in brackets indicate deductions.

Colombo
15th August, 2022

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

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As At	30th June 2022 Rs.	31st March 2022 Rs.
ASSETS		
Cash and cash equivalents	255,903,451	296,439,735
Financial assets - fair value through other comprehensive income	744,269,720	725,704,749
Loans and receivables	13,708,897,780	14,125,811,999
Investments with banks and other financial institutions	34,161,303	242,460,738
Other assets	165,122,337	255,411,953
Real estate stock	10,271,618	9,338,093
Deferred tax asset	370,832,054	371,600,809
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	34,899,935	37,899,935
Property, plant and equipment	77,177,363	84,505,805
Right-of-use-assets	115,496,075	115,496,075
Investment properties	662,150,002	662,150,002
Total assets	16,979,607,384	17,727,245,639
LIABILITIES		
Due to banks - bank overdrafts	548,199,714	680,571,641
Deposits from customers	9,340,585,157	9,204,263,013
Interest bearing borrowings	3,411,921,652	3,874,859,251
Right-of-use of Liability	76,660,167	76,660,167
Other Liability	165,378,064	514,908,252
Retirement benefit obligations	49,413,947	44,103,980
Total liabilities	13,592,158,701	14,395,366,304
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	375,736,747	375,736,747
Revaluation reserve	141,120,773	141,120,773
Retained earnings	438,712,124	383,142,776
Total equity	3,387,448,683	3,331,879,335
Total equity and liabilities	16,979,607,384	17,727,245,639
Net assets per share	16.05	15.78

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd
Sanjeeva Jayasinghe
 Chief Financial Officer

Sgd
K.M.M. Jabir
 Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

Sgd
Rajendra Theagarajah
 Chairman

Sgd
Prakash Schaffter
 Director

Colombo
15th August, 2022

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the period ended 30th June

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2021	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Profit/(Loss) for the year	-	-	-	452,997,166	452,997,166
Other comprehensive income (expense) net of taxes	-	-	-	(8,047,841)	(8,047,841)
Transfer to statutory reserve		45,299,717		(45,299,717)	-
Balance as at 31st March, 2022	2,431,879,039	375,736,747	141,120,773	383,142,776	3,331,879,335
Balance as at 01st April, 2022	2,431,879,039	375,736,747	141,120,773	383,142,776	3,331,879,335
Profit/(Loss) for the quarter	-	-	-	66,409,480	66,409,480
Other comprehensive income (expense) net of taxes	-	-	-	(10,840,133)	(10,840,133)
Balance as at 30th June 2022	2,431,879,039	375,736,747	141,120,773	438,712,123	3,387,448,683

Figures in brackets indicate deductions.

Colombo
15th August, 2022

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

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For the period ended 30th June	2022 Rs.	2021 Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	66,409,480	59,878,701
Adjustment for:		
Depreciation/amortization	16,409,887	13,496,670
Profit on disposal of property, plant and equipment	-	(101,000)
Impairment charges for loans and receivables to customers	15,043,934	35,209,888
Finance expenses	423,144,698	266,880,775
Investment income	(26,312,055)	(10,606,674)
Provision for gratuity	5,309,967	5,055,000
Operating profit/(Loss) before working capital changes	500,005,912	369,813,360
Change in loans and receivables to customers	401,870,285	(193,398,748)
Change in other assets	90,289,616	(22,091,750)
Change in deposits from customers	136,044,788	187,214,562
Change in other liabilities	(349,530,188)	85,675,766
	278,674,501	57,399,830
Rent Paid	(73,674,667)	(21,166,928)
Interest paid	(276,491,046)	(202,513,505)
Gratuity paid	-	(1,230,145)
Net cash from/(used in) operating activities	428,514,700	202,302,612
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	-	5,602,627
Expenses incurred for real estate stock	(933,525)	-
Net change in available for sale financial assets	(29,405,103)	15,891,318
Net change in investments with bank and other financial institutions	204,772,432	(200,491,732)
Investment income received	19,288,510	10,606,674
Net cash generated from/(used in) investing activities	193,722,313	(168,391,114)
Cash flows from financing activities		
Interest bearing borrowings obtained	1,300,000,000	1,025,000,000
Repayment of interest bearing borrowings	(1,653,218,233)	
Interest Paid on Borrowings	(177,183,137)	(1,124,920,782)
Net cash generated from/(used in) financing activities	(530,401,370)	(99,920,782)
Net change in cash and cash equivalents	91,835,643	(66,009,284)
Cash and cash equivalents at the beginning of the period	(384,131,906)	145,981,051
Cash and cash equivalents at the end of the Quarter (Note A)	(292,296,263)	79,971,767
Analysis of cash and cash equivalents at the end of the period		
Cash in hand	166,601,058	131,958,378
Cash at bank	89,302,392	111,604,729
Bank overdrafts - secured	(548,199,714)	(163,591,341)
	(292,296,263)	79,971,767

Figures in brackets indicate deductions.

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- Gold Loan - Provision of loans against gold

For the period ended 30th June	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Others		Total	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Interest income	500,397,577	446,523,398	42,647,492	34,295,209	167,521	1,271,632	202,305,671	103,641,205	26,312,054	10,606,674	771,830,314	596,338,118
Fee and commission income	17,085,664	9,161,261	-	2,162,421	468,673	1,798,724	-	-	(0)	-	17,554,338	13,122,406
Other income	16,146,543	17,570,888	-	4,147,426	-	-	-	-	4,277,850	7,329,415	20,424,392	29,047,729
Total segmental income	533,629,784	473,255,546	42,647,492	40,605,056	636,195	3,070,356	202,305,671	103,641,205	30,589,903	17,936,088	809,809,044	638,508,253
Less: Interest expense	(284,834,394)	(191,005,124)	(22,284,340)	(21,048,698)	(332,427)	(2,494,031)	(99,709,577)	(40,453,750)	(15,983,960)	(11,879,171)	(423,144,698)	(266,880,775)
Segmental results	248,795,390	282,250,422	20,363,152	19,556,358	303,768	576,325	102,596,093	63,187,455	14,605,943	6,056,917	386,664,347	371,627,478
Depreciation and amortization	(10,813,419)	(10,003,588)	(864,205)	(858,302)	(12,892)	(64,901)	(4,099,501)	(2,190,749)	(619,871)	(379,130)	(16,409,887)	(13,496,670)
Impairment charge	(12,354,823)	(35,209,888)	(1,992,269)	-	(696,842)	0	0	0	0	0	(15,043,934)	(35,209,888)
Other Expenses	(176,100,566)	(194,964,104)	(14,073,891)	(16,727,809)	(209,947)	(1,264,875)	(66,761,909)	(42,696,414)	(10,094,825)	(7,389,017)	(267,241,138)	(263,042,220)
Income tax	(14,207,062)	-	(1,135,423)	-	(16,937,36)	-	(5,386,074)	-	(814,409)	-	(21,559,905)	-
Profit/(loss) after tax	35,319,520	42,072,842	2,297,365	1,970,247	(632,850)	(753,451)	26,348,608	18,300,293	3,076,839	(1,711,229)	66,409,482	59,878,701
Segmental assets	9,531,074,306	7,074,778,791	1,155,653,248	2,185,883,565	110,767,100	65,265,712	3,759,839,933	2,293,125,642	2,422,272,797	3,647,850,198	16,979,607,384	16,979,607,384
Segmental liabilities	7,629,615,434	5,707,396,163	925,099,267	1,763,405,449	88,668,953	52,651,438	3,009,748,100	1,849,920,241	1,939,026,947	2,942,809,498	13,592,158,702	13,592,158,701

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2022. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2022.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>		30-Jun-22	30-Jun-21
Value of Ordinary Shares (Rs.)		2,431,879,039	2,431,879,039
No. of Ordinary Shares		211,101,155	211,101,155
Share Price During the Period		For the Quarter Ended 30-Jun-22	For the Quarter Ended 30-Jun-21
Highest	(Rs)	13.90	16.50
Lowest	(Rs)	6.70	12.00
Closing	(Rs)	7.70	15.70

NOTES TO THE FINANCIAL STATEMENTS

Shareholders as at 30th June 2022

	Name	No. of Shares	%
1	Janashakthi PLC	95,455,437	45.22
2	Seylan Bank PLC/Janashakthi PLC (collateral)	90,000,000	42.63
3	Commercial Bank of Ceylon PLC/Janashakthi Limited	10,555,057	5.00
4	First capital PLC	2,138,299	1.01
5	Hatton National Bank PLC/Sashimaal ruhash fernando	838,681	0.40
6	Mr.A.Rajaratnam	704,183	0.33
7	Seylan Bank PLC/mohamed mushtaq fuad	552,540	0.26
8	Mr. R.A.B.K. Kumara	500,000	0.24
9	Hatton National Bank PLC/Mushtaq mohamed fuad	487,052	0.23
10	Seylan Bank PLC/Imiya Pathirannehalage Indrani Lalitha Gunathilaka	406,750	0.19
11	LOLC Finance PLC/V.S.Rajasooriya	375,000	0.18
12	Mr.L.P.Mendis	358,695	0.17
13	Commercial Credit and Finance PLC	330,000	0.16
14	DFCC Bank PLC/G.A.C. De silva	323,868	0.15
15	Sandwave Limited	293,069	0.14
16	Hatton National Bank PLC/Koralagodage Don Sahan Rachitra Kulatunga & Mrs. Oshandhini Upulika Kumari Jayasundara	282,462	0.13
17	Mr.N.L.S.Fernando	257,902	0.12
18	Seylan Bank PLC/Haloluwa Gedara Nilupul Gamini Haloluwa	246,886	0.12
19	Mr.E.P.I Fernando	234,342	0.11
20	Mr.P.Ramachandran	230,000	0.11
	Others	6,530,932	3.09
	Total	211,101,155	100.00

Directors' Shareholding as at 30th June 2022

	Name of the Director	No. of Shares	%
1	Mr. Prakash anand Schaffter	10	-
2	Mr.Rajendra Theagarajah	-	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Nawalage Sriyan Suresh cooray	-	-
6	Mr. Kather Meerasahim Mohamed Jabir	-	-
7	Mr. R. M. Darshana Joseph Ratnayake	-	-
8	Mr.Nalin Karunaratne	-	-
	Total	10	

Director/CEO's Shareholding as at 30th June 2022

Mr.K.M.M.Jabir	-	-
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Public Holding as at 30th June 2022

Number of Public Shareholders	12,952,342
Public Shareholding Percentage	805
Float Adjusted market capitalization (Rs)	6.14%
	99,733,033

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.